

Tutorial

Part 1:

Questions:

- 1) Do you think that it is convenient to qualify macroeconomics as "science"? why or why not?
- 2) Why can one say that economic agents are rational?
- 3) What are the main macroeconomic problems that we can hear from the Medias nowadays? *Inflation*
- 4) What is impoverish growth
- 5) Present the deterioration of exchange rate
- 6) Funding father of modern macroeconomics: author, book and the year of publication - *J.M Keynes 1936 = The General theory of employment, money and interest*
- 7) Psychological fundamental law of Keynes <
- 8) Keynes' consumption function and criticism *APC, MPC, Determinant*
- 9) Keynesian multiplier *What is Keynes multiplier now why*
- 10) Investment and determinants

Part 2: exercises

Exercise N°1

Let's consider a Keynesian economy with the whole households having the following characteristics:

$$C = 125 + 0.8 Y$$

And the general price level at a given year X which is 255 knowing that the one of year X_{-1} was 247

WR :

- 1) Give the explanation of these terms : C ; Y ; 125 et 0.8
- 2) What is the place of interest rate in Keynesian consumption function?
- 3) Calculate the inflation of this economy at year X and characterize it
- 4) Give the level of consumption when $Y = 1500$
- 5) Give the graphical representation of the consumption function of this economy
- 6) Give an economical interpretation of different parts of this graphic
- 7) Find mathematical expression of average propensity to consume and deduct its value for $Y = 1500$

What can you draw as conclusion?

Exercise N°2

Let's consider the following relations:

$$Y = C + I; C = 50 + 0,8Y; I_0 = 50$$

- 1) What is permanent income?
- 2) Draw the consumption function
- 3) Draw the global demand function
- 4) Write the equations of consumption function in short run and in long run
- 5) Find graphically the equilibrium level of income

Exercise N°3

Let's consider an economy with the whole households having the following characteristics:

$$C = 90 + 0.7 Y$$

$$I_0 = 40 \quad G_0 = 100 \quad \text{and} \quad T = 5$$

- 1) Which type of economy is it?
- 2) Find out the multiplier for three sectors economy with exogenous taxes
- 3) Find the impact of a change into autonomous investment from I_{01} to I_{02} with $I_{01} = 40$ and $I_{02} = 45$
- 4) From this change into autonomous investment, draw out the accelerator effect
- 5) What can we conclude?